The good news is that there's been remarkable development in this space since the first edition of this book came out in 2013. Back then, there really wasn't any choice but to use continuations, not if you were a retail trader or even a smaller-scale professional. There wasn't any readily available software solution for backtesting on individual futures contracts and even if you wanted to build your own, computing power and memory were clearly limiting factors back then.

Even if you had the ability to construct your own back-tester, you still needed hardware capable of dealing with tens of thousands of individual contracts and their time series, and that just wasn't commonplace until fairly recently.

For all the research in this book, I have used individual contracts in order to get as close to reality as possible. The software that I used is something which I wish had been readily available ten years ago, a software which is able to base analytics and trading logic on on-the-fly calculated continuations and execute trades based on real contracts. On-the-fly in this case means that the back-test would calculate the continuation each day, the way it would have looked on that day, rather than using a pre-calculated single series for the entire time. It would be a close approximation of real-life trading.

Futures Sectors

Agricultural Commodities

Purists may take issue with my definition of agricultural commodities, because I include softs, grains, fibres, meats, and so on in this sector, but I prefer a practical and pragmatic sector definition to a textbook definition. There is nothing wrong with subdividing this sector into all those components, but it does not add value in this context.

The agricultural sector might start feeling slightly comical for traders who are used to dealing with stocks, currencies, and bonds. In the agricultural space there are quite a few different futures markets where everything from coffee and cotton to lean hogs and livestock can be traded, making it a veritable supermarket. This is, in a way, an excellent sector because the internal correlation between these different markets is not particularly high. Although it never hurts knowing a little bit about what you trade, you can essentially treat each market as just pure numbers, without having to care about what the market driver for, say, wheat demand really is.